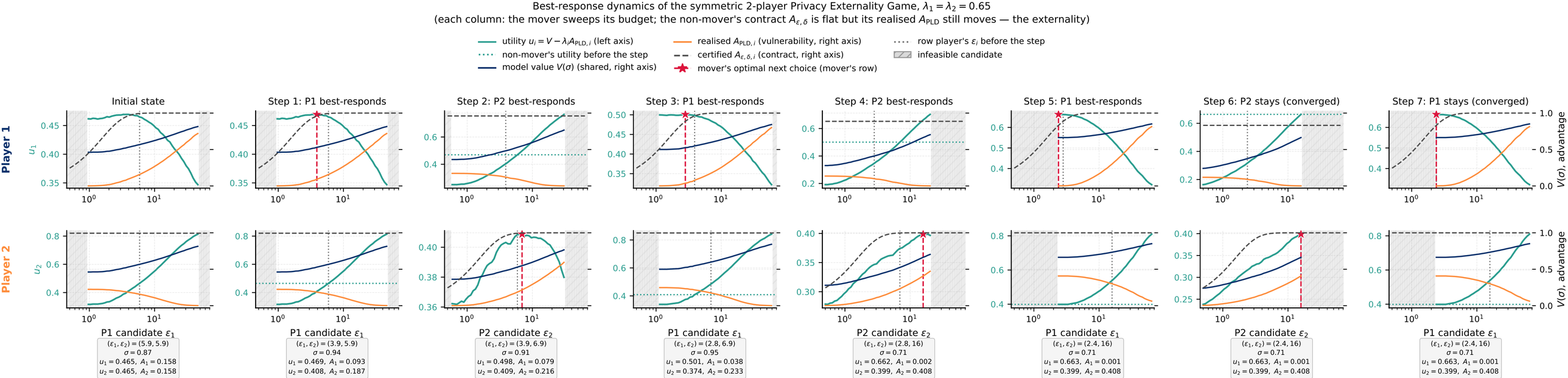

Best-response dynamics of the symmetric 2-player Privacy Externality Game, $\lambda_1 = \lambda_2 = 0.65$
(each column: the mover sweeps its budget; the non-mover's contract $A_{\varepsilon,\delta}$ is flat but its realised A_{PLD} still moves — the externality)
utility $u_i = V - \lambda_i A_{\mathrm{PLD},i}$ (left axis)
non-mover's utility before the step
model value $V(\sigma)$ (shared, right axis)
realised $A_{\mathrm{PLD},i}$ (vulnerability, right axis)
certified $A_{\varepsilon,\delta,i}$ (contract, right axis)
mover's optimal next choice (mover's row)
row player's ε_i before the step
infeasible candidate
Initial state
Step 1: P1 best-responds
Step 2: P2 best-responds
Step 3: P1 best-responds
Step 4: P2 best-responds
Step 5: P1 best-responds
Step 6: P2 stays (converged)
Step 7: P1 stays (converged)
Player 1
Player 2
u_1
u_2
$V(\sigma)$, advantage
P1 candidate ε_1
P2 candidate ε_2
$(\varepsilon_1, \varepsilon_2) = (5.9, 5.9)$
$\sigma = 0.87$
$u_1 = 0.465$, $A_1 = 0.158$
$u_2 = 0.465$, $A_2 = 0.158$
$(\varepsilon_1, \varepsilon_2) = (3.9, 5.9)$
$\sigma = 0.94$
$u_1 = 0.469$, $A_1 = 0.093$
$u_2 = 0.408$, $A_2 = 0.187$
$(\varepsilon_1, \varepsilon_2) = (3.9, 6.9)$
$\sigma = 0.91$
$u_1 = 0.498$, $A_1 = 0.079$
$u_2 = 0.409$, $A_2 = 0.216$
$(\varepsilon_1, \varepsilon_2) = (2.8, 6.9)$
$\sigma = 0.95$
$u_1 = 0.501$, $A_1 = 0.038$
$u_2 = 0.374$, $A_2 = 0.233$
$(\varepsilon_1, \varepsilon_2) = (2.8, 16)$
$\sigma = 0.71$
$u_1 = 0.662$, $A_1 = 0.002$
$u_2 = 0.399$, $A_2 = 0.408$
$(\varepsilon_1, \varepsilon_2) = (2.4, 16)$
$\sigma = 0.71$
$u_1 = 0.663$, $A_1 = 0.001$
$u_2 = 0.399$, $A_2 = 0.408$
$(\varepsilon_1, \varepsilon_2) = (2.4, 16)$
$\sigma = 0.71$
$u_1 = 0.663$, $A_1 = 0.001$
$u_2 = 0.399$, $A_2 = 0.408$
$(\varepsilon_1, \varepsilon_2) = (2.4, 16)$
$\sigma = 0.71$
$u_1 = 0.663$, $A_1 = 0.001$
$u_2 = 0.399$, $A_2 = 0.408$